

limit the tax deductibility of risky "junk" bonds issued in leveraged buy-outs of companies. Although the provision was abandoned the next day, October 16, stocks that had been bid up in the expectation of takeovers or leveraged buy-outs declined sufficiently to force the liquidation of margin accounts by professional arbitrage traders.

Then came the sensational lead article in the Sunday, October 18, issue of the *New York Times*. Treasury Department officials reportedly were advocating openly a lower dollar and blaming the West Germans in advance for the stock market collapse that these remarks helped precipitate. Some selling pressure on "Black Monday," October 19, was inevitable because of the instabilities accumulating in the stock market; but the *Times* article had a dramatic effect, exacerbating the built-in instabilities. The result was the largest single-day decline in history: The Dow Jones industrial average dropped 508 points, or 22.6 per cent of its value.

Analysts generally regard the stock market as the passive reflection of investors' expectations. But in fact, it is an active force in shaping them. Investors' expectations are presumed to be rational, but it is impossible to be rational in the face of genuine uncertainty. The greater the uncertainty, the more investors are likely to take their cue from the stock market. In turn, the more their investment decisions chase market trends, the more volatile the market becomes. The reliance on market trends has been carried to its logical conclusion in portfolio insurance programs. Portfolio insurance and other trend-reinforcing devices such as stock and index options in theory allow individual participants to limit their risk at the cost of aggravating the instability of the system. In practice, when too many people use such devices, the system breaks down. On October 19, such a breakdown occurred. The market became disorganized and panic set in.